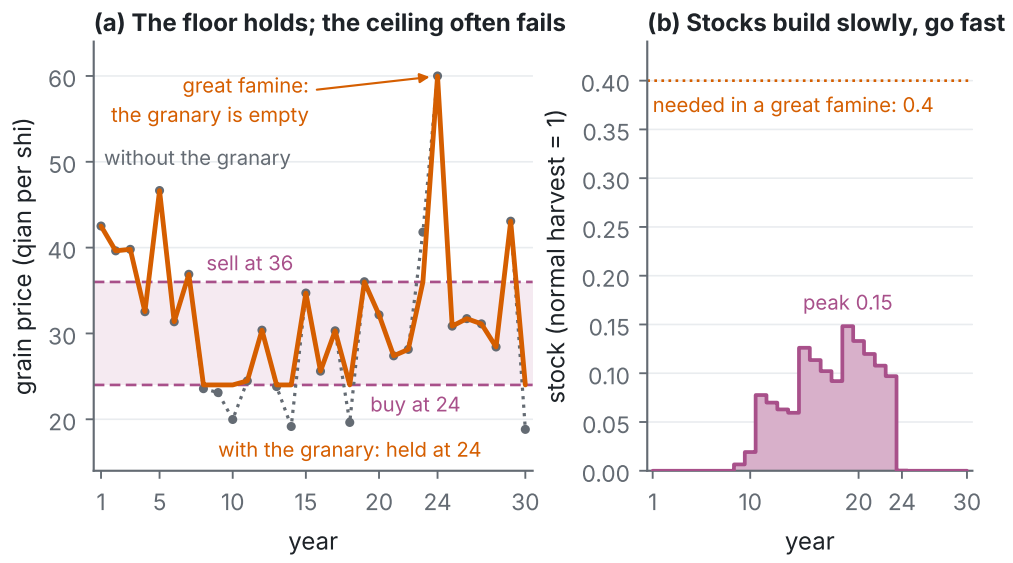
(a) The floor holds; the ceiling often fails
grain price (qian per shi)
60
50
40
30
20
great famine:
the granary is empty
without the granary
sell at 36
buy at 24
with the granary: held at 24
1
5
10
15
20
24
30
year
(b) Stocks build slowly, go fast
stock (normal harvest = 1)
0.40
0.35
0.30
0.25
0.20
0.15
0.10
0.05
0.00
needed in a great famine: 0.4
peak 0.15
1
10
20
24
30
year